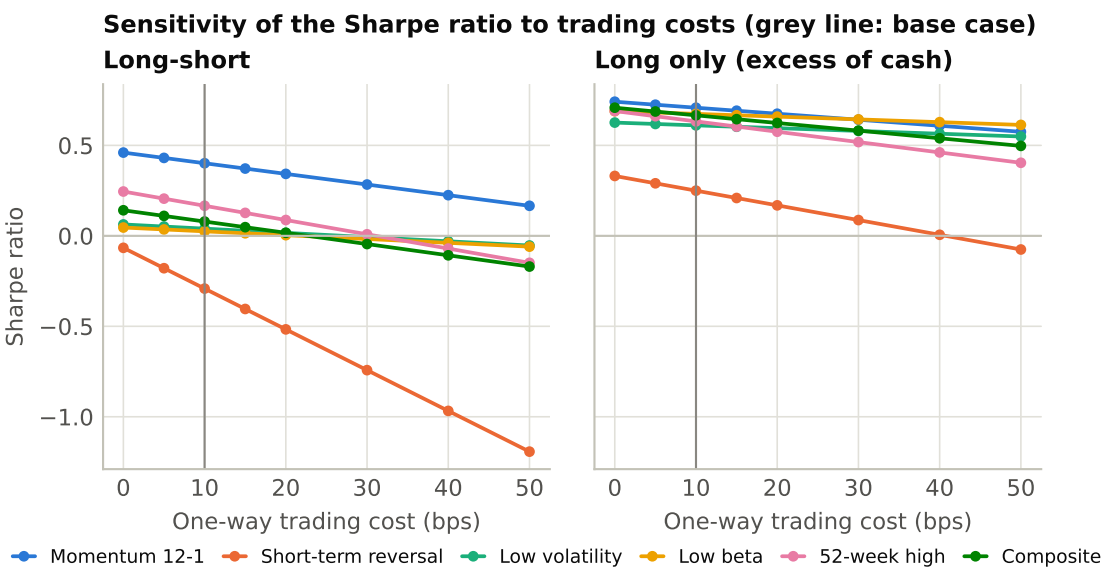
Sensitivity of the Sharpe ratio to trading costs (grey line: base case)
Long-short
Long only (excess of cash)
Sharpe ratio
0.5
0.0
−0.5
−1.0
0
10
20
30
40
50
One-way trading cost (bps)
Momentum 12-1
Short-term reversal
Low volatility
Low beta
52-week high
Composite